

Let me stress, though, that very few of these companies are in any financial distress, contemplating bankruptcy protection, being liquidated, or filing for protection from creditors. Many of the previously listed companies are quite healthy, successful, and growing entities that have decided to simply throw in the towel and abandon DB pensions. Why exactly have they shifted this responsibility to you?

Well, one of the main factors that has been contributing to this accelerating pension trend is something that we actually should all be thankful for—namely good health and increased longevity. We are living much longer than anybody anticipated or planned for when these defined benefit pension plans were originally designed and set up more than 40 years ago.

As you can see from Figure I.1, back in the 1970s life expectancy (at birth) was approximately 67 years for males and about 75 years for females. The average of the two was slightly above 70 years. But, in the last 40 years this number has marched steadily higher so that by mid-2007 the average life expectancy was approximately 77 years. This is a 5-year gain within 40 years. Now just think about what life expectancy might look like in 40 or even 80 more years. And that's not the full story because these numbers only apply at birth. As you age the life expectancy numbers get better, not worse. People are living into their hundreds. In fact, General Motor's oldest "pensionsaire" was 110 in 2006.

A few decades ago, pensions were small sums of money paid for a few years between a formal retirement date and the end of the human lifecycle. But now, this period that was intended and estimated to be 5–10 years is turning into 20 or 30 years. People are retiring earlier (with full benefits) from their pension plan and living into their late nineties.

The resulting pressure on the pension system and plans is an unsupportable retiree-to-active workers ratio. There are just too many retirees and not enough active workers, and therefore not enough revenue to go around to continue to support these payments. Table I.1 shows evidence of this trend for the automotive industry. It's becoming too expensive to pay people for the rest of their lives.